INDUSTRIAL COURT OF MALAYSIA

CASE NO. : 6(20)/4-979/23

BETWEEN

NOR FARDZLIAH BINTI JAAFAR

AND

PERBADANAN NASIONAL BERHAD

AWARD NO: 1864 OF 2025

Before	:	Y.A. Tuan Amrik Singh - Chairman (Sitting Alone)
Venue	:	Industrial Court Malaysia, Kuala Lumpur
Date of Reference	:	16.05.2023
Date of Mention	:	28.06.2023, 18.09.2023, 13.05.2024, 08.12.2025
Date of Hearing	:	13.11.2024, 12.02.2025
Representation	:	Mr. Abu Haziq Bin Abu Talib Messrs. Amelda & Partners Counsel for the Claimant Mr. Alwin Rajasurya & Ms. Nur Salinah Binti Zol Kahar (PDK) Messrs. Alwin Rajasurya Counsel for the Company

REFERENCE :

This is a reference by the Director General of Industrial Relations made on 16.05.2023 for adjudication by the Industrial Court under Section 20(3) of the Industrial Relations Act 1967 (the Act) in respect of the dismissal of **Nor Fardzliah Binti Jaafar** ("the Claimant") by **Perbadanan Nasional Berhad** ("Pernas") on 07.02.2023.

AWARD

Introduction

[1] The Claimant commenced employment with Pernas as a Junior Executive Secretary (grade E9) on 18.02.2013 subject to a six (6) months' probationary period. She was confirmed in her position on 02.09.2013 and was subsequently promoted to an Executive grade E8-2 which position she held till her last day of her employment on 07.02.2023. The Claimant's case was premised on a claim for constructive dismissal.

Facts Leading To Constructive Dismissal Claim

[2] The Claimant's job scope and descriptions as an Executive Secretary for the Executive Director, are as follows:

(a) To assist the Company Secretary for the Board of Directors and Company Committees in matters relating to corporate governance;

(b) To ensure the preparations of Directors' Remuneration Affairs;

(c) To ensure the matters relates to the welfare of Board of Directors and Shareholders is managed;

(d) Administrative Management;

(e) Preparation of Board of Directors' Meeting proposals;

(f) Preparation and arrangement of meals and venue for meetings; and

(g) Reservation of accommodation and/or transportation for Board of Directors.

[3] By Pernas's letter of transfer dated 26.05.2016 the Claimant was transferred to the Corporate Strategy Department with effect from 01.06.2016 pursuant to Clause 13 of the Claimant's letter of employment. Terms in relation to her salary, position and benefits were maintained.

[4] Thereafter, the Claimant was transferred to the Head of Operation (Business) Department vide letter of transfer dated 22.03.2019 with effect from 01.04.2019 pursuant to the same transfer clause.

[5] Subsequently, vide letter of transfer dated 10.09.2020, the Claimant was transferred to "Jabatan Modal Insan" again as per clause 13.

[6] Following that, more than a year later, the Claimant was transferred to the Head of Executive Department as an Executive Secretary on 05.11.2020 in accordance with the same clause 13.

[7] The Claimant was issued a show cause letter dated 25.07.2022 alleging misconduct relating to her attitude, behaviour and other disciplinary concerns. Following her written explanation, Pernas conducted an internal investigation into the said allegations and complaint made against her. However, before the Company could pursue with any disciplinary proceedings against the Claimant, the Claimant tendered her resignation by letter dated 19.12.2022, which was accepted by Pernas on 04.01.2023 with her last day of employment with Pernas fixed on 17.02.2023.

[8] During the running of the Claimant's notice period, the Company again, issued a letter of transfer dated 11.01.2023 transferring the Claimant to the Service and Support of Franchise Department, under the E-Franchise Section without any change in salary, grade and position in Pernas. Pernas contends that the transfer was prompted due to Claimant's

resignation that gave Pernas no option but to transfer the Claimant to another department for her to serve her notice period. This was due to the fact that as a Secretary to the Executive Director of Pernas, the Claimant handled and had access to sensitive, private and confidential information relating to the operations of its business. Thus, the Claimant was instructed to be transferred with effect from 30.01.2023 to serve out her remaining notice period in the E-Franchise Section.

[9] The Claimant avers that she reported for duty at the E-Franchise Section for three (3) days from 30.01.2023 till 02.02.2023. On 02.02.2023, a meeting was convene for the purpose of resolving the issue of her job designation as the Claimant asserts that she had no knowledge of her new job scope as she had not been furnished with any details of the relevant job scope.

[10] It is the Claimant's position that the Claimant was served with the job description for her new transfer after a meeting was held on 02.02.2023 at 6.30 p.m. Upon reviewing the details of the job scope, the Claimant discovered that the duties and

the scope of work imposed by Pernas differed substantially. The Claimant then forwarded a letter dated 07.02.2023 to Pernas demanding that her position as Executive Secretary and her original job scope be maintained failing which she would tender her resignation forthwith in the event no consideration is given to her complaints by Pernas.

[11] Pernas contends that based on a discussion held on 26.01.2023, the Claimant did not resist the transfer directive. The Claimant, however, contends that her transfer to a department in which she possessed no expertise, constitutes an act of breach of the terms of her employment contract by Pernas and was therefore, unreasonable and unjustified.

[12] The matter commence for hearing on 13.11.2024 with the Claimant testifying as the first and sole witness for her case. The matter continued on 12.02.2024 and subsequently continued on 27.02.2025 and 13.08.2025.

[13] On 13.08.2025, the Company in moving this Court to have this matter struck out, filed a striking out application pursuant to Section 29(fa) and/or Section 29(g) of the Act. The hearing

was adjourned pending the disposal of the Company's application. The cause papers before the Court are :

i. Notice of Application (encl 34A)

ii. Company's Affidavit In Support

iii. Claimant's Affidavit In Reply

iv. Company's Affidavit In Reply

[14] Parties submitted their written submission to which this Court upon having conducted an assiduous scrutiny of the pleadings, Affidavits filed and written submissions with the supporting authorities, hand down this Award.

Company's Application And The Grounds

[15] The Application is premised on the grounds that the action in this Court contravenes Section 52(1) of the Act as Pernas is described as a government agency.

[16] Section 52 states :

(1) Parts II, III, IV, V and VI shall not apply to any Government service or to any service of any statutory authority or to

any workman employed by Government or by an statutory authority

The term "statutory authority" comprised as follows:

"Statutory Authority" is defined in s 2 of the IRA 1967 to mean an authority or body established, appointed or constituted by any written law, and includes any local authority.

The definition of "Government agency" is stated in Section 84(13) of the Patents Act 1983 which means the Federal Government or the Governmentt of a State and includes a Ministry or Department of that Government. And what constitutes a "government agency" can be seen in two other legislation namely Perak Housing and Real Property Board Enactment 2016 and Preservation of Public Security Regulations 2013 [PU(A) 103/2013]. (see Institut Integriti's case (supra))

[17] The Court of Appeal further in the case of **Institute Integrity Malaysia v Roziah Harun & Anor [2024] 6 MLRA 809** referred to an Indian Supreme Court authority which further elaborated on what constitutes an agency of the Government that is that it could be even established under a law such as the Companies Act or a Societies Registration Act. Therefore, a corporation established under our Companies Act 2016 could be accepted as a Government agency if it has the required key attributes or characteristics.

The following facts and grounds are stated in the Company's Affidavit In Support:

[18] Pernas is an Government Agency, specifically mandated to spearhead the development of the franchise industry in Malaysia to achieve the country's goal of producing more Bumiputra entrepreneurs in the franchise business industry and owned by the Ministry of Finance (Incorporated)("MOF") and placed under the supervision of the Ministry of Entrepreneurs and Cooperative Development (MECD). Based on the official portal of MECD, Pernas is listed as one of the agencies under the Ministry.

[19] Pernas is subject to either MOF or MECD as seen from the following features:

(i) Pernas's financial accounts and documents are subject to audit by the National Audit Department;

(ii) Payment of bonuses to Pernas employees are subject to approval from the MOF;

(iii) Board of Directors of Pernas consists of two members from MOF and MEDC;

(iv) Section 3.1 of the guidelines for the appointment of the Board of Directors requires the Board to obtain approval of MOF;

(v) The restructuring, organisation and financial restructuring must be submitted for approval by the MOF

[20] In a recent event in Abu Dhabi at the Gulf Franchise Expo 2024, Pernas was awarded with the 'Best International Government Agency Franchise Development' award.

The Claimant's Rebuttal

[21] In her Affidavit In Reply, the Claimant averred that Pernas' application is wholly misconceived, amounts to an abuse of the process of this Court, procedurally unfair and prejudicial to the Claimant, as the Application was filed after the Claimant had already testified, gaining a tactical advantage which should be viewed with circumspection. Pernas, she said, attempts to change its goal post when the proceedings had earlier commenced in early 2023.

[22] It behoves this Court to make a ruling on this issue before proceeding to hear the merits of the striking out Application filed herein.

[23] Section 29(fa) and (g) of the Act reads:

> *"29. The Court may, in any proceedings before it:*
>
> *(fa) Order a case to be struck off or reinstated*
>
> *(g) Generally direct and do all such things as are necessary or expedient for the expeditious determination of the matter before it".*

[24] Clearly, Section 29 of the Act does not limit or afford restricted control over the Court's powers to struck off or reinstate or take all measures necessary or expedient for the expeditious determination of the matter. The provision, in substance, empowers the Court to strike out a case or reinstate a case that has been struck off while (g) allows the Court to consider whatever necessary or expedient to avoid unnecessary delay or inconvenience.

[25] The Act is silent on the proper stage for filing an application under Section 29 (fa) and (g) of the Act. Had delay be a determining factor of whether such an application ought to be entertained, the legislature would have expressly provided so by mandating that the Court consider delay as a material consideration. In the absence of such clear proviso, delay cannot be construed as a bar to the Court's jurisdiction to hear and determine a striking out application, more so, when an objection is raised on a threshold jurisdiction of the Industrial Court.

[26] Accordingly, the Court may exercise this striking out power at any stage of the proceedings, provided that it is satisfied that

the objection concerns a jurisdiction issue and it serves to avoid unnecessary time, effort and resources of all parties. Section 29(fa) of the Act is plain in its meaning and contains no words that imposes any temporal restrictions on its usage or confines its application to any particular stage of the proceedings when a striking out is based on a specific provision of the Act. If an application seeking the Industrial Court to exercise Section 29(fa) on grounds of s 52 of the Act, it ought to be heard at the earliest possible opportunity as the circumstances in which it is worded, it is left to the discretion of the Industrial Court to exercise its powers pursuant to such application.

[27] In the present case, the fact that Pernas has not yet commenced its case and that the application was not heard earlier or filed before the commencement of the trial, does not bar Pernas from raising the fundamental issue of jurisdictional objection. If it is demonstrated that the Court lacks the jurisdiction, it therefore cannot confer jurisdiction upon itself through parties' acquiescence or act. And neither should the Industrial Court assume the requisite jurisdiction merely because the hearing has started. The Court must therefore,

ascertain that in compliance with the Act it does not lacks the threshold jurisdiction to determine the reference.

[28] The crux of the Claimant's contention as stated in her affidavit in reply is that Pernas is not a government agency. It is a company incorporated under the Companies Act 1965 (now Companies Act 2016) limited by shares and has a distinct legal personality separate from its shareholders. The mere fact that its majority shareholder is the Minister of Finance (incorporated) does not alter the fundamental legal principle of separate legal personality.

[29] The objects clause in its Memorandum of Articles are consistent with a commercial based structure and does not reflect the functions of a statutory authority or government department. Pursuant to its Members' liability clause, the liability of members is limited which distinguishes it from statutory bodies or government agencies and is not part of the civil service. It falls in the category of Government link Company (GLC).

[30] The Claimant's reason on why Pernas should be categorised as a GLC is because :

(i) A GLC does not enjoy the same immunities as the Government;

(ii) Contracts entered into by the Pernas are commercial in nature and bind the company itself, not the Government.

(iii) Litigation involving Pernas is against Pernas, not the Government of Malaysia;

(iv) A GLC does not enjoy the same immunities as the Government.

[31] In furtherance to the above reasons, the Claimant avers that reference to the Audit Act 1957 which entitles the Auditor General of Malaysia to audit Pernas in which more than half of the paid-up share capital is held by the Government does not in anyway change a company into a Government agency or statutory authority. If that were the case, every single GLC or company with substantial Government investment, including listed entities, would be a "government agency".

[32] The Claimant stated that the "Guidelines for Directors Appointed by the MOF (incorporated) and reference to the Red Book are merely governance tools to regulate the behaviour of directors nominated by the Government and confer no statutory powers or alter the status of Pernas as a Government Agency. The "Guidelines" she stated, do not replace or override Pernas's own constitution, terms and conditions of service and the Companies Act further emphasising that "Guidelines" cannot override primary legislation.

[33] It was further reasoned that Pernas conducts itself, in every aspect as a commercial entity which constitutes the characteristics of a corporate entity, not of a government agency, as government departments do not declare dividends or engage in profit oriented commercial operations.

[34] In paragraph 17 of the Claimant's Affidavit In Reply, the Claimant asserts that her own contract of employment was not with the Government of Malaysia, but with Pernas with vested powers of appointment, promotion, remuneration, and termination. The employees of Pernas are not governed by

the Public Service Department nor are they subject to the Public Officers (Conduct and Discipline) Regulations.

[35] Last but not least, the Claimant states that Pernas' occasional participation in programmes or events organised by ministries or agencies does not convert it into a government agency as such participation is incidental to its role as a GLC that does not alter its legal character. In the circumstances, the Claimant avers that the core issue is whether her dismissal was lawful and fair pursuant to the reference under Section 20 of the Act which Industrial Courts have consistently assumed jurisdiction over disputes involving GLCs. On these grounds, the application is not only untenable in law but also contrary to equity and fairness.

Evaluation and Decision

[36] In the judgment of the Court of Appeal in the case of **Institut Integrity Malaysia v Roziah Harun & Anor [2024] 6 MLRA 809**, it was stated that where clear evidence is presented for the determination of a jurisdictional issue of the Industrial Court, for the Industrial Court to dealt with such issue

summarily, it is open for a party to take the route via s 29(fa) of the Act to have the case struck out.

[37] Clearly, in this case, the Minister's reference is not quashed for purposes of challenging the Industrial Court's threshold jurisdiction and no prohibition order was obtained by Pernas to prevent the Industrial Court from adjudicating this matter. Parties therefore are fully entitled to have their issues canvassed and ventilated before the Court. Once a Minister's reference has been obtained, except for limited grounds, no matters can be dealt with by mere affidavit evidence and neither can a matter be struck out. The principle in **Kathiravelu Ganesan & Anor v Kojasa Holdings Bhd [1997] 1 MELR 10; [1997] 1 MLRA 372; [1997] 2 MLJ 685; [1997] 3 CLJ 777; [1997] 3 AMR 2484** has made this trajectory of the role and function of the Industrial Court clear enough.

[38] For an objection on grounds of jurisdictional threshold to be taken up at a full hearing would make Section 29(fa) to be quite redundant thereby defeating the purpose of its introduction and amendment of Section 29 of the Act. The Court of Appeal in Institut Integrity (supra) held that s 29(fa) of the Act may be invoked in a fit and proper case - where

evidence points conclusively that s 52 of the Act applies to oust the jurisdiction of the Industrial Court. Section 52 therefore acts as an exception to the situations described in Kathiravelu Ganesan's (supra) case.

[39] This Court shall therefore determine on the application by Pernas based on its affidavit evidence to see if the reasons advanced as required under s 52 of the Act support a case that is fit and proper to be concluded under Section 29(fa) of the Act.

[40] The Court must be satisfied that Pernas falls within the ambit of Section 52 which provides that "Parts II, III, IV, V and VI shall not apply to any Government service or to any service of any statutory authority or to any workman employed by Government or by any statutory authority."

[41] In support of its case, Pernas position is that it is an agency owned by the MOF (incorporated) with clear government responsibilities or mandates. As it is also under the supervision of MECD, Pernas financial accounts and documents are subject to audit by the National Audit Department. Its Board of Directors consists of two members from the Malaysian

Government Ministries i.e. MOF and MECD. Pernas is listed as one of the agencies under the Ministry based on the official MECD portal. Pernas main goal is to support bumiputera economic delevepment policies under the Malaysia Plan.

[42] A conclusive proof of its agency stature is the letter from Jabatan Audit Negara (JAN) dated 16.04.2021 exhibited in the supporting Affidavit. The letter reads:

> *"Pengauditan Terhadap Pengurusan Perbadanan Nasional Berhad"*
>
> *2. Sukacita dimaklumkan Jabatan Audit Negara (JAN) akan menjalankan pengauditan terhadap pengurusan syarikat Perbadanan Nasional Berhad (PNS). Pengauditan ini Adalah selaras dengan Seksyen 5(1)(d) Akta Audit 1957 yang memberi kuasa kepada Ketua Audit Negara untuk mengaudit sesebuah syarikat yang berdaftar di bawah Akta Syarikat 2016 yang menerima geran/pinjaman daripada Kerajaan Persekutuan atau negeri dan sesebuah syarikat di mana lebih daripada separuh modal saham berbayar dipegang oleh Kerajaan Persekutuan/Kerajaan Negeri/Agenci Kerajaan. PNS telah*

diwartakan dalam Perintah Audit (Akaun Syarikat) 2017 [P.U. (A) 294] sebagai salah satu syarikat yang perlu diaudit oleh JAN."

[43] The relevance of the foregoing content in the JAN letter is seen in the case of **Ramana Dayaram Shetty v International Airport Authority of India And Others (1979) 2 SCC 489** referred to in Institut Integriti (*supra*) judgment, where it was stated that:

"14. A corporation may be created in one of two ways. It may be either established by statute or incorporated under a law such as the Companies Act 1956 or the Societies Registration Act 1860. Where a corporation is wholly controlled by Government not only in its policymaking but also in carrying out the functions entrusted to it by law establishing it or by the character of its incorporation, there can be no doubt that it would be an instrumentality or agency of Government."

15. But if extensive and unusual financial assistance is given and the purpose of the Government in giving such assistance coincides with the purpose for which the

corporation is expected to use the assistance and such purpose is of public character, it may be a relevant circumstances supporting an inference that the corporation is an instrumentality or agency of Government."

The following paragraphs then states as follows:

"…… But "a finding of State financial support plus an unusual degree of control over the management and policies might lead one to characterise an operation as State action".

[44] The letter from JAN is evident that Pernas is funded by the Government and by virtue of Section 5 (1)(d) Audit Act 1957, it empowers JAN to conduct an Audit to ensure the purpose and objective of the Government policy is carried out. Basically, it acts as a safeguard of any profits, funds received or assets used to be align in accordance with the policy. This characteristics which controls its finance does not make it to be a GLC or a mere private corporation.

[45] The obvious difference between a GLC and a government agency is that a GLC is a company with a commercial

objective in which the government has a controlling stake while a government agency is primarily engaged in matters of high public interest.

[46] The Claimant argues that the contracts entered into by Pernas are commercial in nature which bind Pernas itself and not the Government.

[47] The Court is of the view that the mere fact that Pernas enters into contracts of commercial nature, does not, by itself, divest it of its position as a Government agency. Its legal paradigm remains unaffected merely because it undertakes commercial transactions. The agency, whilst having its objective intact, often enters into commercial transactions so long as it continuous to function as an instrument of the Government and carries out the mandate entrusted to it in furtherance of Government policy. There is no legal requirement that for Pernas to retain its character as an instrument of the government, the Government must be privy to every contract which it enters. The fact that the Government has continuously funded Pernas, is an important indicator which supports the characteristics of its standing as a Government agency.

[48] The Claimant sought to argue that the Objects Clause in the MOA sets out business objects such as investment, trading and related commercial activities and other profit driven activities consistent with a commercial company structure, not within the functions of a statutory authority or government department.

[49] It is vital to look at the function and role Pernas plays and the purpose of its establishment. To achieve its vision of supporting economic development policies under the Malaysia Plan and to develop bumiputra entrepreneurs specifically through investments, it is of no surprise that the activities that Pernas carries out could overlap with transactions which are commercial in nature. Thus by involving in investment trading and related commercial activities, Pernas should not be seen as vitiating from its true purpose but rather diversify to achieve the policy.

[50] It was further submitted by the Claimant that the "Guidelines for Directors Appointment by the MOF and reference to the Red Book are merely governance tools to regulate the

behaviour of directors nominated by the Government which do not confer any statutory powers to Pernas.

[51] It is my considered view that the "Guidelines" are indicative of significant and substantive involvement of the Government at the management stage which fits the role of Pernas as an Government instrumentality or agency.

[52] For completeness, the other reasons raised by Pernas to prove that it comes within s 52 is the involvement of non-profitable activities carried out solely on humanitarian grounds for example the Palestine Humanitarian fund collection. The National Sports Day and MECD Family Day 2024 Programme were carried out with the aims to strengthened relationship between MECD residents and agencies and Pernas was the recipient of the "Best International Government Agency Franchise Development" Award in Abu Dhabi in March 2024.

[53] By receiving the Best International Government Agency Franchise Development Award, it is evident that the Government has never rebuked Pernas or regarded it as anything other than one of its instrumentalities, as such information is available to the public at large.

[54] The foregoing reasons would all lead to the conclusion that Pernas is a instrumentalities of the Government. This result in the Industrial Court lacks the requisite threshold jurisdiction to proceed to hear and determine the Claimant's representation emanating from the Minister's reference under s 20(1) of the Act.

Decision

[55] This Court allows prayer 1 of the encl 34 of Pernas' Application to struck out the Claimant's Case under Section 29(fa) and/or Section 29(g) of the Act.

[56] The Claimant's case is hereby struck off.

HANDED DOWN AND DATED THIS 08TH DAY OF DECEMBER 2025

-signed-

(AMRIK SINGH)
CHAIRMAN
INDUSTRIAL COURT, MALAYSIA
KUALA LUMPUR.